

FEDERAL MARITIME COMMISSION

ONE NETWORK EXPRESS PTE. LTD.
AND OCEAN NETWORK EXPRESS
(NORTH AMERICA) INC. – POSSIBLE
VIOLATIONS OF 46 U.S.C. §
41102(c)

Docket No. 21-17

Served: January 28, 2022

BY THE COMMISSION: Daniel B. MAFFEI, Chairman,
Rebecca F. DYE, Michael A. KHOURI, Louis E. SOLA, Carl W.
BENTZEL, Commissioners.

Order Denying Respondents’ Petition for Reconsideration and Rescission

The Federal Maritime Commission is in receipt of Respondents’ Petition for Reconsideration and Rescission of the Commission’s Order of Investigation and Hearing (Order). The Order was issued in accordance with the Commission’s authority to “investigate any conduct . . . that the Commission believes may be in violation of [the Shipping Act],” 46 U.S.C. § 41302. The Order “institute[s]” an enforcement action against Respondents “to determine whether” they have violated 46 U.S.C. § 41102(c). Order at 5.

Despite the Order being the first document issued in this proceeding, Respondents bring their Petition under 46 C.F.R.

§ 502.261, which governs requests for reconsideration “of a *final* decision or order[.]” (emphasis added). Pet. for Recons. at 1. For a Commission decision or order to be final, it must: (i) mark the consummation of the agency’s decision-making process; and (ii) determine rights or obligations or give rise to legal consequences. *Carolina Marine Handling, Inc. v. S.C. State Ports Auth.*, Case No. 99-16, 2006 FMC LEXIS 13, at *8 (FMC Nov. 28, 2006) (citing *Bennet v. Spear*, 520 U.S. 154, 177-78 (1997)). The Commission’s Order does neither. Instead, the Order initiates a process to determine whether a statutory violation occurred. Indeed, in quoting § 502.261, Respondents omit the phrase “final decision or order,” and they make no attempt to argue that the Order meets this threshold requirement. See *generally* Pet. for Recons.

Nor do Respondents endeavor to (1) “[s]pecif[y]” any “change in material fact or applicable law, which [] has occurred after the issuance of the decision or order; (2) [i]dentif[y] a substantive error or material fact contained in the decision or order; or (3) [a]ddress a finding, conclusion, or other matter upon which [Respondents] ha[ve] not previously had the opportunity to comment”—as required for Commission consideration of a petition filed under § 502.261. To the extent that Respondents, in their Petition, assert that the Commission’s Order contains errors, they are not, as required by § 502.261, errors of “fact.” The Commission’s Order contains only allegations, which will or will not be proven during the proceeding. The Petition admits as much. See, e.g., Pet. for Recons. at 1 (asserting that “the Order is premised on allegations that are not true”); *id.* at 2 (referencing “the allegations of the Order”); *id.* at 7 (asserting that “the Order is premised on inaccurate and/or misleading allegations”). Respondents will have the opportunity to raise these (and other) arguments before the Administrative Law Judge. See 46 C.F.R. § 502.63(c)(1) (allowing for the filing of motions to dismiss in a Commission enforcement action). Thus, even if the Petition were properly before the Commission under § 502.261, Respondents have failed to meet their burden.

Respondents cite no other authority for the filing of their Petition, or for Commission review thereof. Moreover, the Commission is not persuaded, especially at this early stage, that it should exercise its discretion to review the Order under 46 U.S.C. § 41304(b) (providing that the Commission “may reverse, suspend, or modify any of its orders”).

Accordingly, the Commission **DENIES** Respondents’ Petition for Reconsideration and Recission.

The Commission further **DENIES AS MOOT** Respondents’ request for a stay of the proceeding before the Administrative Law Judge.

By the Commission.

William Cody
Secretary